

Audits of Less Complex Entities

Presented by:

Kai Morten Hagen, LCE Task Force Chair
Jasper van den Hout, IAASB Principal
Amy Fairchild, IAASB Principal

IAASB Meeting
December 5, 2022
Agenda Item 3



Task Force & Staff Activities

Task Force Meetings

LCE Reference Group

Small and Medium Practices Advisory Group

Liaison with other project teams



Objective of This Week's Session

- Approve the Exposure Draft of Part 10, *Audits of Group Financial Statements*, and related conforming amendments for public consultation
- Obtain the Board's input on
 - Part 6, Risk Identification and Assessment
 - Quantitative threshold section in the Authority
 - Views and recommendations on the way forward in relation to selected other topics

Part 10, Audits of Group Financial Statements



What Has Changed Since September Board Meeting?

Authority

- New prohibition when involving component auditors
- Changes made to the qualitative characteristics

Requirements

- Removed all requirements related to component auditors
- Reflected suggestions from the Board in September 2022

Included Essential Explanatory Material (EEM)

Conforming Amendments to Other Parts Due to Part 10

Matters for IAASB Consideration

Group Audits

1. The Board is asked for their views on the changes made to the Authority related to group audits as set out in paragraph 14 of **Agenda Item 3**

Matters for IAASB Consideration

Group Audits – Part 10

2. The Board is asked for their views on the changes made to the requirements and EEM in Part 10 as set out in **Agenda Item 3-B**. The Board will be asked to provide feedback in the following order
 - (a) Content of this Part, Sections 10.1–10.4
 - (b) Sections 10.5–10.8

Matters for IAASB Consideration

Group Audits –Conforming Amendments

3. The Board is asked for their views on the proposed changes to Parts 1–9 in **Agenda Item 3-D**, including if there is anything else to add

Matters for IAASB Consideration

Group Audits - Exposure

4. The Board is asked if they have any comments regarding the proposed exposure period, effective date and content of the explanatory memorandum, or further comments regarding Part 10 and related conforming amendments

Part 6, Risk Identification and Assessment – Proposed Changes

Key Changes

- Approach to understanding entity's system of internal control
- Combined identification and assessment of RoMMs
- Requirement to consider effect of inherent risk factors
- Presumption of revenue recognition risk now an active determination of any fraud risks in revenue recognition
- Other revisions, including new EEM, to address concerns about proportionality and clarity

Part 6, Risk Identification and Assessment – Proposed Changes (cont.)

Component Of Entity's System of Internal Control per ED	Approach in Revised Part 6
Entity's Control Environment	- Requirement to understand control environment - Evaluation of appropriateness
Entity's Risk Assessment Process	Inquiries (direct i.e., more proportionate to LCE)
Entity's Process for Monitoring Controls	Inquiries (direct i.e., more proportionate to LCE)
Entity's Information System	- Requirement to understand process to prepare financial statements - Consideration of appropriateness
Entity's Control Activities	Approach as per exposure draft

Matters for IAASB Consideration

Part 6 (1 of 2)

6. The Board is asked for their views on proposed Part 6 as presented in **Agenda item 3-E**.

Sections	Paragraphs
Content of this Part	Introductory Box
Scope of this Part	6.1.1–6.2.6
6.1. Objectives	
6.2. Procedures for Identifying and Assessing Risks and Related Activities	
6.3. Understanding Relevant Aspects of the Entity <i>Inquiries of Management and Others within the Entity</i> <i>Understanding the Entity and Its Environment</i> <i>Understanding the Applicable Financial Reporting Framework</i>	6.3.A–6.3.5
6.3. Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of Internal Control</i> <i>Deficiencies in the Entity's System of Internal Control</i>	6.3.6–6.3.18

Matters for IAASB Consideration

Part 6 (2 of 2)

6. The Board is asked for their views on proposed Part 6 as presented in [Agenda item 3-E](#).

Sections	Paragraphs
6.4. Identifying and Assessing Risks of Material Misstatement <i>Significant Risks</i> <i>Assessing Control Risk</i> <i>Evaluation of the Procedures to Identify and Assess Risks of Material Misstatement and Revision of Risk Assessment</i>	6.4.1–6.4.3G
6.5. Evaluation of the Appropriateness of Using the ISA for LCE 6.7. Specific Communication Requirements	6.5.A–6.7.1

ISA for LCE: Authority

Quantitative Thresholds

Expectation for jurisdictions to determine

Guidance to assist in determination (inc., reference to the European Commission's definition of a "small enterprise")

Matters for IAASB Consideration

Authority

7. The Board is asked for its views on the proposed revisions to the Authority relating to quantitative thresholds.

Respondents Analysis – Approach to Objectives and EEM

Question 7(b): Approach to objectives

Response: Support the approach

Way Forward: Keep the approach

Question 7(d): Approach to EEM

Response: Support content and presentation
Mixed views on sufficiency

Way Forward: Keep overall approach but review
individual parts for revisions or additions

Matters for IAASB Consideration

Objectives and EEM

8. The Board is asked for its views on the proposed way forward by the Task Force as set out in paragraph 66–68 in **Agenda Item 3**.

ISA for LCE: Way Forward

- ✓ Publish Exposure Draft of Part 10 in January 2023
- ✓ Continue drafting in remaining areas for discussion in March and June 2023
- ✓ Continue to analyze responses to exposure draft for presentation to Board



Follow Us



@IAASB_News



@International Auditing and Assurance
Standards Board



@International Auditing & Assurance
Standards Board

Register and Subscribe for updates: www.iaasb.org





IAASB

International Auditing
and Assurance
Standards Board®

www.iaasb.org

IAPN.

ISA.

ISAE.

ISQC.

ISRE.

ISRS.

For copyright, trademark, and permissions information, please go to [permissions](#) or contact permissions@ifac.org.